



Deal or no deal, investors are both concerned and excited

August 11, 2026

Executive summary

Five months into the US-Iran conflict and the strength of corporate earnings makes it seem like the optimists have won. But things are more complicated. This report analyses proprietary data from our dbDataInsights team and shows that the issue of investing against the backdrop of a volatile energy market is highly polarising for people. Indeed, of all the investment themes we track, energy has one of the highest rates of both optimism and pessimism.

So, we have an odd situation: On one hand, global corporate earnings are incredibly strong despite the energy shock this year. On the other hand, the Iran conflict is still a massive problem for the world economy. An amicable agreement thus remains elusive.

Three findings from our analysis stand out.

- Energy – whether measured through prices or transition – is now one of the most-cited investment themes for US investors behind AI, and is prompting portfolio changes on par with technology and geopolitics.
- Energy prices carry one of the highest perceived risks of any theme we tested among UK investors.
- Our megatrend model shows that energy disruption (as a medium-term trend) has remained a positive force for the world economy this year. That pattern closely echoes the 1970s oil shocks.

Energy shocks are unambiguously bad for consumers and growth in the short term. But over longer time frames, our model shows that energy disruption has tended to be a net positive for markets and economies because it accelerates diversification of supply and pushes economies to generate more GDP per unit of energy consumed. We see early evidence of a similar dynamic beginning today.

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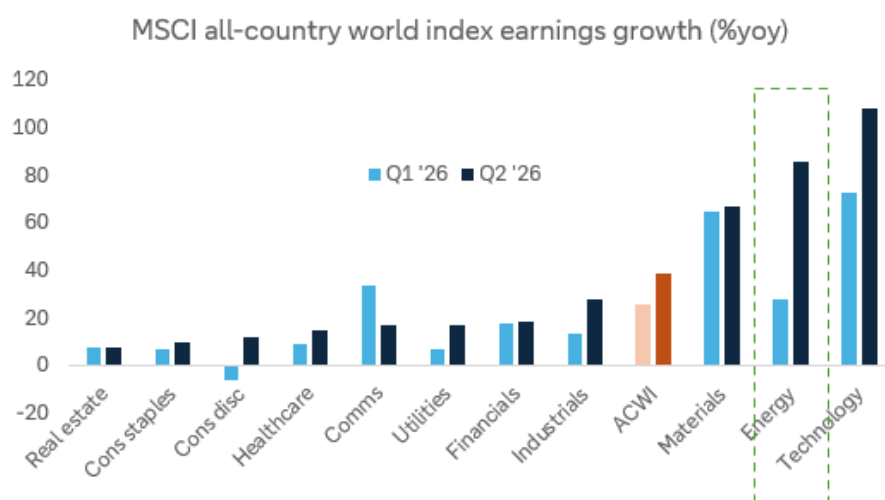
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A serious issue ... but surprising resilience

The closure of the Strait of Hormuz has not been the economic catastrophe that many expected five months ago. In fact, corporates earnings have just had one of their best quarters outside of recession recoveries. For the companies in the MSCI all-country world index, median earnings growth is running at 16.5% yoy in Q2, well above the 14.7% in Q1. Energy has been a big part of that, with earnings growth, at a sector level, surging 86% in Q2, about triple the growth recorded in the prior quarter.

Figure 1: Earnings growth has been very strong in Q2



Source: Bloomberg Finance L.P., Deutsche Bank Asset Allocation

Economies have fared less well than companies, but they remain remarkably resilient given the harsh predictions that came from some quarters in early March. Of course, stockpile releases and other buffers have helped smooth the disruption – and as these wear down further, larger problems may arise.

So, now we have a curious juxtaposition of outlooks. On one hand, corporate earnings are proving resilient and the long-term focus on energy security has helped make many of the associated equities good investments. On the other hand, the Iran conflict is still a massive problem for the world economy.

What investors think about the effect of energy on their portfolio

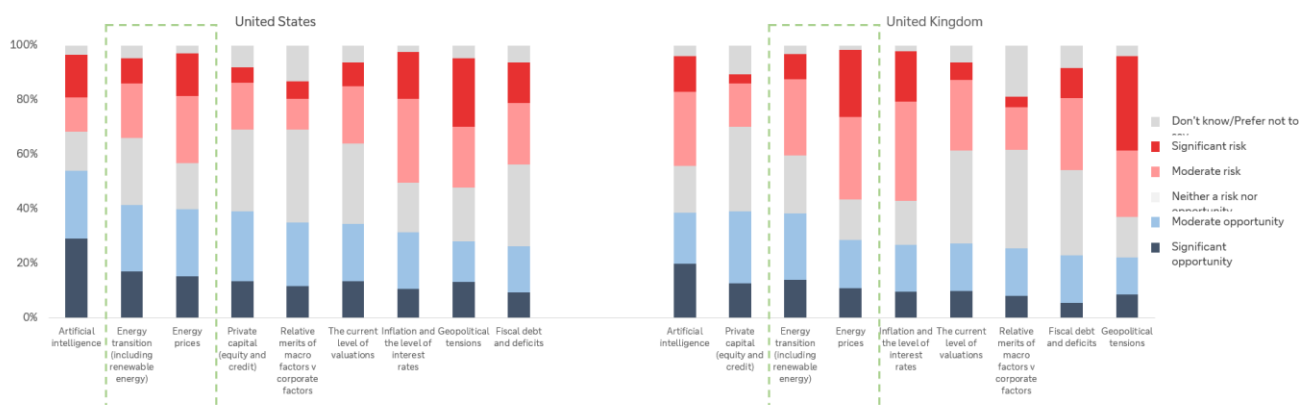
Our dbDataInsights survey on the topic was carried out in April and May of this year and polled a representative sample of people in the US and the UK. The responses indicate that energy has become one of the two dominant investment themes of 2026 – alongside, and closely intertwined with, artificial intelligence.



Energy is a high-conviction theme – in both directions

When we asked investors whether they see various investment themes as a risk or an opportunity for 2026, energy transition and energy prices ranked just behind artificial intelligence as the most-cited opportunities in both the US and the UK. The below chart shows a selection of the themes.

Figure 2: Survey question: "For each investment theme listed below, please indicate whether you perceive it as a risk or an opportunity for investors in 2026"



Source: dbDataInsights, Deutsche Bank

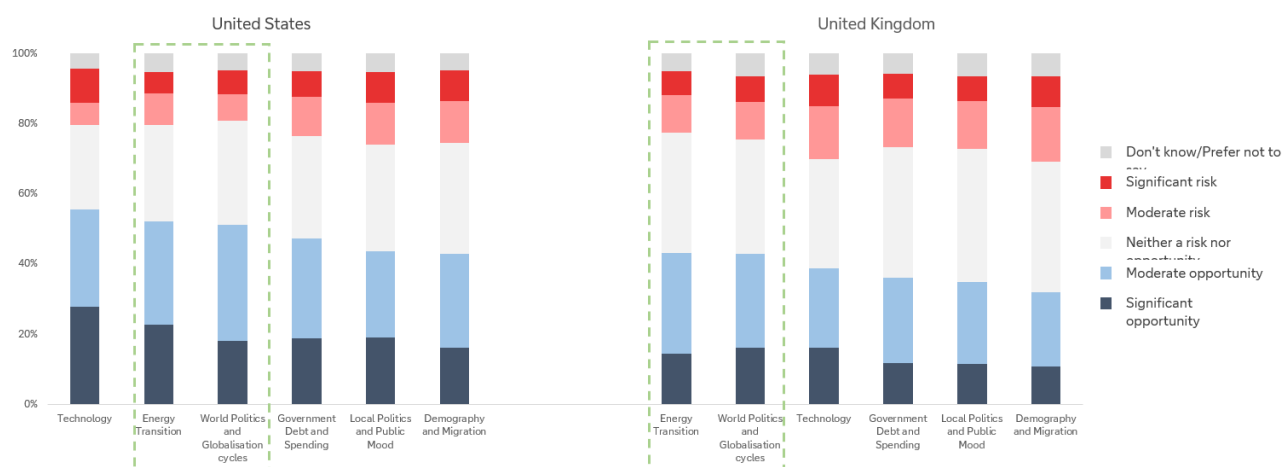
Energy is already changing portfolios

Conviction about energy appears to be translating into action – particularly when we think about it from a medium- or long-term point of view. To assess this, we fell back on our [megatrend model](#) that assesses the development of the six key megatrends that are driving the world's economies and markets.

When we asked investors how likely they are to change their portfolio over the next 12 months because of each megatrend, a dominant theme was energy and geopolitics as the below chart shows.



Figure 3: Survey question: “Within the next 12 months, how likely are you to make changes to your investment portfolio due to the following thematic megatrends?”

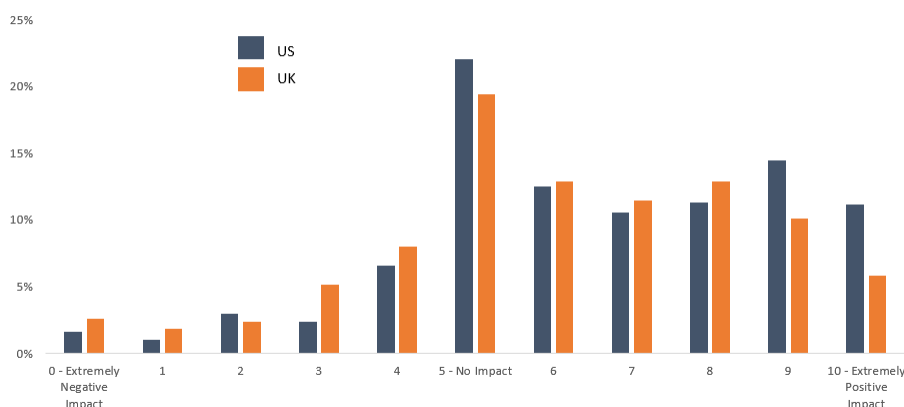


Source: dbDataInsights, Deutsche Bank

Taken together, the two survey questions tell a consistent story: energy has moved from a background, structural megatrend to one that investors are actively trading around, much as technology has been for the AI boom. The difference is that, unlike technology, energy's near-term path is being set as much by missile strikes and shipping insurance premia as by fundamentals.

Investors appear to sense this: when we asked how the energy transition will affect their main portfolio over the next three years, responses skewed firmly positive.

Figure 4: Investors' anticipated impact of the energy transition on their main investment portfolio over the next 3 years



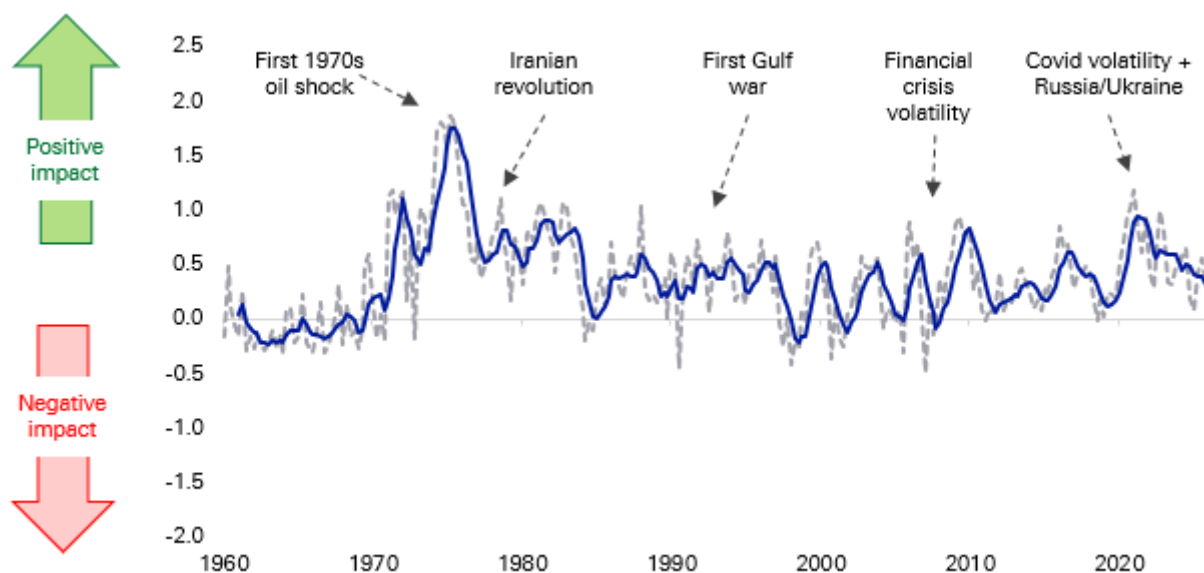
Source: dbDataInsights



Energy as a megatrend: why the medium-term signal is so positive

Energy is one of the [six long-term trends](#) that feeds into our megatrend model that uses almost 100 data series since 1957 to track their impact on economies and markets. Energy is a nuanced megatrend as, unlike several others, there is a big difference between the effect of short-term disruption and long-term gain. Indeed, prior periods of energy disruption have been incredibly good for the long-term energy trend, even if the short-term disruption was incredibly painful for consumers and economies.

Figure 5: Our energy megatrend indicator has generally been positive as the world's economies diversify their supplies at the same time that innovation makes the economy more energy efficient

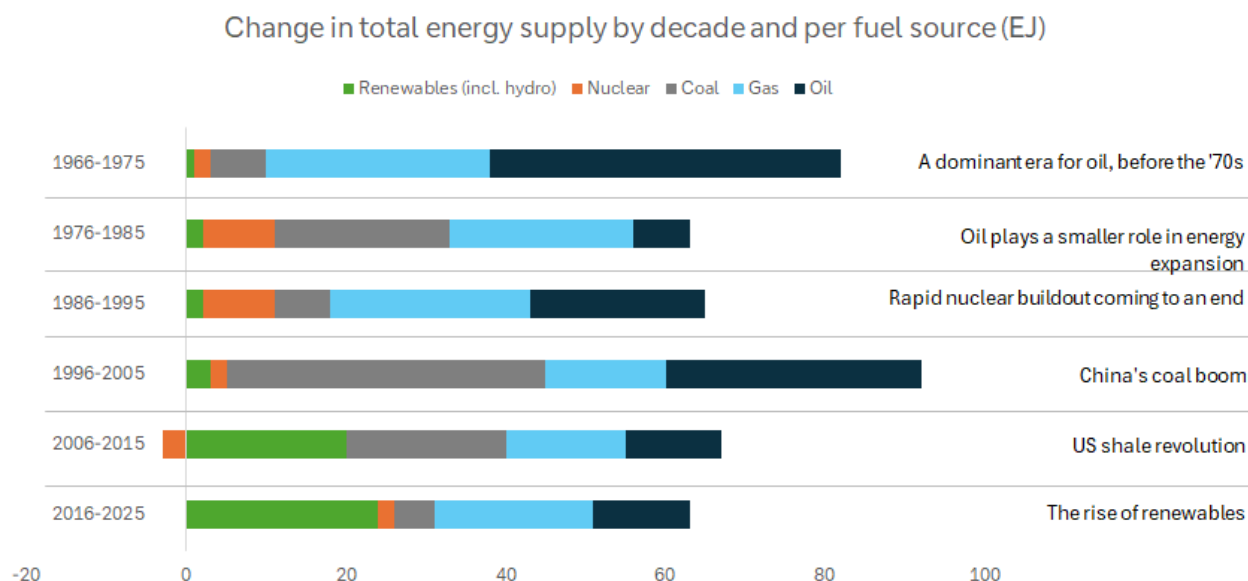


Source: Factset, Bloomberg Finance L.P., Fineon, EIA, Deutsche Bank Research

Viewed through a medium-term lens, the last five months of conflict in the Middle East can be viewed as likely being a long-term positive for economies and markets. That is because the Iran war is accelerating exactly the kind of diversification our model rewards: European and Asian buyers have moved further into US, Guyanese and West African crude and LNG since the Strait's closure; several G20 governments have fast-tracked strategic reserve releases and non-Gulf supply agreements; and renewed urgency has attached to the 'friend-sufficient' push for critical minerals and energy inputs that began during the US-China strategic rivalry.



Figure 6: Shocks over the decades have defined several eras for the evolution of the energy mix



Source: Energy Institute

The 1970s is something of a parallel

The closure of the Strait of Hormuz in 2026 and the disruption to Russian gas flows into Europe in 2022 both echo the twin oil shocks of 1973 and 1979, when OPEC's move to set its own prices followed by the Iranian revolution, sent crude to ten times its early-1970s level and permanently altered the trajectory of global oil demand.

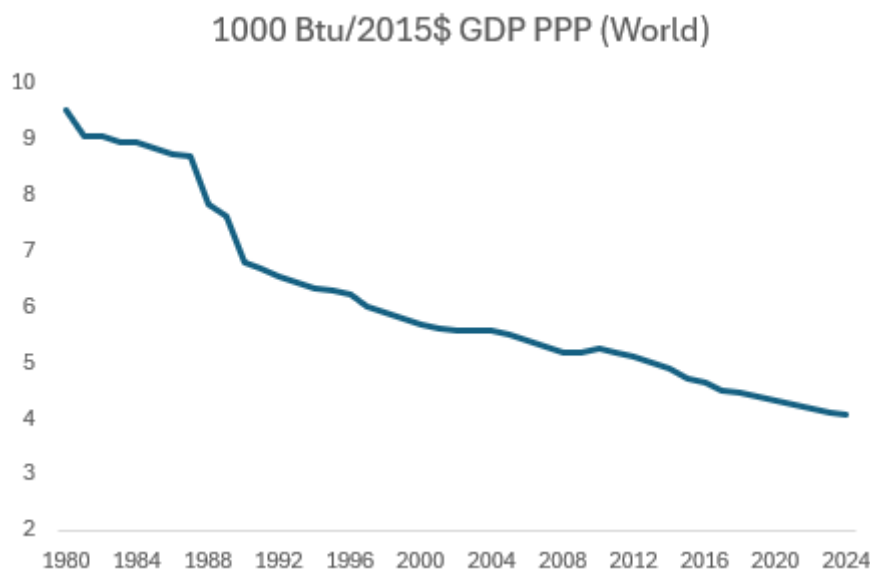
Global oil consumption growth slowed from 7.8% before 1973 to 2.2% pa for most of the rest of the decade (on calculations from the Energy Institute). It outright declined after the second and took a decade for global oil consumption to recover to its 1979 level.

Whilst the 1970s shocks created havoc for both individuals and economies, they accelerated the pace at which the world changed how it generated economic output. The energy intensity of GDP fell 3.3% in 1980 (the largest single-year improvement in the Energy Institute's data series). That adjustment reflected both behavioural change and, over the following decade, structural investment in fuel efficiency and the phase-out of oil-fired power generation.

Since 1980, the energy intensity of GDP has roughly halved as shown in the following chart.



Figure 7: The energy intensity of GDP has been steadily falling – partly because of efficiency and innovation



Source: EIA

This trend is captured in our megatrend model which shows the medium-term payoff from decades of energy disruption. Those forces continue today. Every episode of chokepoint risk, from Ukraine in 2022 to Hormuz in 2026, adds another increment to the diversification of global energy supply and another incentive for energy innovation across economies.

Conclusion

Five months into the US-Iran conflict war, investors are highly polarised about the investment merits of investing against the backdrop of energy volatility. However, those that are positive are very positive. Our megatrend model suggests that reaction is rational: like the 1970s oil shocks, the medium-term legacy of this conflict is likely to be faster energy diversification and a further, durable improvement in the energy intensity of GDP, even though the near-term path for prices is likely to stay volatile.

As a result, energy security and supply diversification should keep attracting capital regardless of where the oil price settles. The beneficiaries are likely to cascade up and down the value chain including, LNG infrastructure, non-Gulf production, renewables, strategic reserves and grid resilience as countries and companies all try to diversify their chokepoint risk.



Appendix 1

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